

HOW DOES IT WORK?

With chart patterns, the entire focus of analysis is around support and resistance levels. Support levels refer to those price levels, where a declining asset price finds buyers i.e. they find support and the price decline disappears. This means whenever asset price falls below this level or in fact, even reaches this level, it will manage to find buyers and as a result, the price won't go down further. On the other side, whenever the price of an asset is increasing, it reaches a certain level where it always finds sellers and as a result, it always reverts and the escalation decreases. Such levels where an increasing asset finds sellers and thus price falls repeatedly are called resistance levels i.e. the asset is facing resistance here.

BULLS

PRICE

SUPPORT LEVEL

Whenever price falls to a certain level, bulls will pull it up back. They won't let the price fall beyond this level.

